

Rishi Pal (Senior Citizen) vs Pradeep Kumar on 31 January, 2025

THE COURT OF Ms. SUKRITI JHA
JFMC (NI ACT) DIGITAL COURT - 02, WEST DISTRICT
TIS HAZARI COURTS, DELHI

CC NI Act No. 3019/2021

Rishi Pal

v.

Pradeep Kumar

Unique QR Code

Case Number

Details of Complainant

CC NI Act No. 3019/2021

Mr. Rishi Pal

Proprietor M/s Goyal Timber
Plywood

S/o Mr. Hari Ram

R/o F-80, Adhyapak Nagar,
Nangloi, Delhi-110041

Details of Accused

Mr. Pradeep Kumar

C/o Mr. Shiv Singh

Prop. M/s Shiv Singh

Prop. M/s 24 Print Media

WZ-97, PVC Market,
Jawalapuri, Near Sai Mandir,
New Delhi-110087

Case Number Record (CNR)

Date of Filing

Offence Complained of

Police Station

Plea of Accused

Final Arguments Concluded on

Date of Decision

DLWT020178332021

26.10.2021

Section 138 NI Act, 1881

Nihal Vihar

Not Guilty

29.01.2025

31.01.2025

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CC NI Act No. 3019/2021

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Rishi Pal Vs. Pradeep Kumar

JUDGMENT

BRIEF STATEMENT OF REASONS FOR DECISION

1. This is a private complaint case for bouncing of cheque seeking to punish the offence under Section 138 of the Negotiable Instruments Act, 1881 (hereinafter referred to as N.I. Act, 1881).

ALLEGATIONS IN THE COMPLAINT

2. Briefly put, the allegations in the Complaint are that the Accused approached the Complainant for supply for wooden material. The Complainant supplied the goods and used to maintain regular books of accounts for the business carried out between the parties. As per the Statement of Account dated 31.03.2021, a sum of Rs. 3,15,589 is due from the Accused for the supply of timber. The Complainant repeatedly demanded the said amount from the Accused and finally the parties agreed to settle the pending dues at Rs. 3,20,000.

3. For discharge of his liability, the Accused issued three cheques bearing no.(s) 014125, 014126 and 014127 dated 06.07.21, 09.07.21 and 15.07.21 respectively for the amounts of Rs. 40,000, Rs. 50,000 and Rs. 2,30,000 respectively. The cheques in question were drawn on Indraprastha Sehkari Bank Ltd. When the Complainant presented the cheques at his bank, the cheques were returned SUKRITI by SUKRITI JHA JHA Date: 2025.01.31 13:24:45 +0530 Rishi Pal Vs. Pradeep Kumar dishonoured with the remarks "Funds Insufficient" via Return Memos dated 27.08.2021.

4. The Complainant approached the Accused to make pay-

ment but he did not pay heed to the Complainant's requests. Thereafter, a Legal Demand Notice was served upon the Accused on 21.09.2021. After failure to make payment despite service of the statutory demand notice, the present complaint was filed within limitation.

SUMMONING AND FRAMING OF NOTICE U/S 251 CrPC

5. Pre-summoning evidence was led by way of affidavit on the basis which the Accused was summoned to face trial. Notice of Accusation under Section 251 Cr.P.C. was given whereafter the Accused pleaded not guilty and claimed trial. Accused admitted the signatures on the cheque but denied filling up the rest of its particulars.

6. After receiving notice of accusation, the Accused disclosed his defence wherein he stated thus: "I purchased goods from the Complainant but could not make payment due to Covid-19. I admit liability to the extent of Rs. 2,60,000 but the three cheques in this complaint are for a total amount which is more than the legally enforceable debt."

7. Since the Accused did not disclose any defence and admitted his liability, no request was made nor application filed under Section 145(2) N.I. Act for recalling the complainant for cross-examination and accordingly, the Digitally signed by SUKRITI SUKRITI Date:

JHA JHA 2025.01.31 13:24:58 +0530 Rishi Pal Vs. Pradeep Kumar right of the accused to cross-examine the complainant was closed on 24.04.2024.

8. On 24.04.2024, the Complainant and the Accused gave statements of settlement on oath in Court and arrived at a full and final settlement. On 24.04.2024, the accused made a separate statement stating that he does not wish to cross-examine CW-1. Accordingly, CE was closed. v both the parties also requested that the matter not to be disposed off today and in case payments are not made, option be left open to continue it on merits.

9. Thereafter, the Accused kept making a part of the payment on the two subsequent dates of hearing i.e. 06.07.2024 and 21.08.2024. On 29.10.2024, the counsel for complainant submitted that since the accused has not complied with the order dt. 24.04.2024, the complainant wishes to proceed with the case on merits. The matter was listed for statement of accused u/S 313 Cr.P.C.

STATEMENT OF ACCUSED U/S 313 CrPC R/W 281 CRPC

10. Statement was recorded without oath under Section 313 CrPC on 09.12.2024. Therein the Accused stated:

I had given blank signed cheque to the complainant. I am still engaging in business transactions with the complainant where the complainant supplies goods to me against payment in cash or online mode. I am in financially difficult position and I am ready to SUKRITI by SUKRITI JHA Date:

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make payments, however in small installments. I wish to lead DE.

11. Accused further stated that he wished to lead Defence Evi-

dence (DE) and the matter was listed for recording DE. The accused examined a single witness i.e. himself on oath. After DW-1 i.e. Pradeep Kumar was examined, cross-examined and discharged, he stated that he wanted to close his evidence. Accordingly, DE was closed on 14.01.2025 and the matter was put up for final arguments on 29.01.2025.

COMPLAINANT'S EVIDENCE (CE)

12. Complainant led only documentary evidence as the accused stated that he did not wish to cross-examine the complainant and his witnesses. The PSE was led as Ex.CW1/A (colly) and the

remaining documents were tendered as Ex.CW1/1 to Ex.CW1/14.

13. The Complainant/CW-1 was not cross-examined by learned Counsel for the Accused as the Accused admitted liability and did not wish to cross-examine the complainant's witnesses as per statement dt. 24.04.2024. accordingly, evidence of the complainant was closed.

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DEFENCE EVIDENCE (DE)

14. The Accused did not lead any documentary evidence. He only examined himself as a witness and was cross-examined by Learned Counsel for Complainant. The evidence of the Accused as DW-1 is as follows:-

I had given three cheques to the complainant out of which two were for payment and one was given as a security cheque to be encashed if the need arises. I had given all three cheques as blank signed cheques to the complainant. The two cheques which were for payment were filled in by the complainant. The amounts on the two cheques were Rs.40,000/- and Rs.50,000/-, respectively. The third cheque was blank and was supposed to be a security cheque.

XXXX by Mr. Nitin Gupta, Learned Counsel for complainant.

I am 35 years old. I am 12th pass. I know the complainant since 2019. I do not know the exact amount I owe to the complainant as of today i.e. 14.01.2025. Vol. At the time of mediation in July 2023, I owed roughly Rs.2.4 to Rs.2.6 lakh to the complainant. Today, I do not maintain statement of account or ledger with the complainant. I used to maintain the same till 2020 but I do not remember the month.

At this stage, the witness has been shown Ex.CW1/1(Colly), which contain total 7 invoices. I am not able to confirm whether the said invoices are genuine or not. Vol. I will have to check the record and only then will I be able to confirm.

At this stage, the witness has been shown Ex.CW1/2. According to me, the amount mentioned in the ledger is not correct. I cannot tell the correct amount as the person

concerned one Mr. Kaushlendra, was my accountant and I will have to check with him.

It is correct that I have not filed any ledger or any other documents containing the calculations for the transactions entered into between me and the complainant.

At this stage, the witness has been shown Ex.CW1/9, which is legal notice.

Q. Did you receive the said legal notice?

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Rishi Pal Vs. Pradeep Kumar JHA 2025.01.31 13:25:27 +0530 Ans. I did not receive the legal notice as the address on which it was sent was vacated by me in January 2021.

Q. Is your office situated at WZ-97, PVC Market, Jawla Puri, near Sai Mandir, New Delhi-110087?

Ans. No. Today my office is situated at W-88, PVC Market, Jawla Puri, near Sai Mandir, New Delhi-110087.

At this stage, the witness is confronted with notice u/s.251 Cr.P.C., framed against him dated 13.02.2023, which states that witness/ accused had received the legal demand notice Ex.CW1/9. Vol. I had shifted my residence from Khasra No.48/1, 2nd floor, Syed Gaon, Syed Nangloi, Delhi to Paschim Puri, Delhi in January 2021. I do not remember the exact address of Paschim Puri. I shifted my office from WZ-97, PVC Market, Jawla Puri, near Sai Mandir, New Delhi-110087 to W- 88, PVC Market, Jawla Puri, near Sai Mandir, New Delhi- 110087 in March-April 2022.

It is correct that my total liability towards the complainant was Rs.3,15,589/-, which was mutually settled at Rs.3,20,000/- since there was delay in making the payment.

It is wrong to suggest that I did not make the payment within 15 days of receiving the legal demand notice.

It is correct that two cheques of Rs.40,000/- and of Rs.50,000/- , Ex.CW1/3 and Ex.CW1/4, respectively, were filled in my presence.

It is wrong to suggest that the cheque Ex.CW1/5 was handed over to the complainant for encashment. Vol. The said cheque was given as a security cheque as my partner Mr. Narender Ved had expired during Covid-19. The said cheque was given to be encashed on some future date if the need arises and the goods have been supplied to me and payment is not made. The complainant, however, presented the said security

cheque Ex.CW1/5 along with the other two cheques Ex.CW1/3 and Ex.CW1/4.

It is correct that 24 Print Media is a proprietorship firm. I am the proprietor of the said firm. I have not had any partnership firm. I did not make any complaint against the complainant for presenting Ex.CW1/5. It is wrong to suggest that I did not make any complaint against the complainant as the said security cheque Ex.CW1/5 was presented with my authority. Vol. I asked the complainant as to why he presented the said security cheque and he stated that he had done so by mistake and I need not worry about the same.

It is further wrong to suggest that I am deposing falsely.

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15. DE was closed on 14.01.2025 as the Accused did not wish to lead any other evidence, either oral or documentary.

FINAL ARGUMENTS

16. Final arguments were heard on 29.01.2025. I have heard both the parties.

17. The Counsel for the Complainant stated that the case strongly tilts in favour of the complainant because the fact of loan was admitted by the accused and he was simply delaying the process of payment with no real intent to repay the complainant. The Counsel reiterated that the Accused has not shown any ledger or statement which clarifies the exact amount he has repaid to the Complainant. There are several contradictions in the cross-examination of DW-1 i.e. the Accused. The Accused also admitted that the parties had mutually settled the dispute at Rs. 3,20,000/- and it was correct that the total liability towards the Complainant was Rs. 3,15,589/-. Lastly, the Accused has only stated that he is in financial distress, however, there is no proof of the same except oral averments. Further, a presumption is raised by virtue of Section 139 of the Negotiable Instruments Act, 1881 that the cheque was issued in discharge of a legally enforceable debt or liability and the burden of proof is on the Accused to show that such liability did not exist. The case has been pending since 2021 and the Complainant has been suffering since then. Lastly, the prayer of the Counsel for Complainant is that the Accused should be convicted under Section 138 of the N.I. Act, 1881.

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18. The Counsel for the Accused that business transactions between the parties are still going on and the Accused has not approached the Court with any malafide intent. The total liability of Rs. 3,20,000/- as admitted by the Accused in his cross- examination has been partly paid. Ld. Counsel submitted that Rs. 1,20,000/- out of Rs. 3,20,000/- has been paid to the Complainant. The Accused also did not receive the legal demand notice as it was not properly served. The Accused could not make timely payments as he was undergoing financial distress. The Accused is ready to make the balance payment however, in small installments.

19. I have gone through and considered the record.

LEGAL POSITION

20. Section 138 NI Act has certain ingredients which must all be cumulatively satisfied to constitute the offence of cheque bouncing. The cheque must be drawn by a person on an account being maintained by him for payment of money, which is presented within its validity period and it should be issued for discharging a legally enforceable debt or liability. If the cheque is returned dishonoured by the bank due to insufficient funds, or a host of other reasons by virtue of Laxmi Dyechem v. State of Gujarat (2012) 133 SCC 375, a demand for the said amount of money must be made in writing within one month of the receipt of information of dishonour. If the payment is not made within 15 days of receiving the notice of demand, the complaint may be made within a month thereafter. SUKRITI by Date:

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1. The law on the issue is well settled and does not need elaborate discussion. Paragraph 7 of the judgment of the Hon'ble Supreme Court of India in Tedhi Singh v. Narayan Dass Mahant, 2022 INSC 266 sums up the position best and is quoted hereunder:

"It is true that this is a case under Section 138 of the Negotiable Instruments Act. Section 139 of the N.I. Act provides that Court shall presume that the holder of a cheque received the cheque of the nature referred to in Section 138 for the discharge, in whole or in part, of any debt or other liability. This presumption, however, is expressly made subject to the position being proved to the contrary. In other words, it is open to the accused to establish that there is no consideration received. It is in the context of this provision that the theory of 'probable defence' has grown. This Court notes that Section 139 of the N.I. Act is an example of reverse onus. It is also true that the accused is not expected to discharge an unduly high standard of proof. It is accordingly that the principle has developed that all which the accused needs to establish is a probable defence. As to whether a probable defence has been established is a matter to be decided on the facts of each case on the conspectus of evidence and circumstances that exist."

POINTS FOR DETERMINATION

21. The foundational facts that lead to raising of the above- mentioned presumptions are the execution and issuance of the impugned cheque. The cheques in question bearing no. 014125, 014126 & 014127 have been dishonoured for the reason "Funds Insufficient". The Accused in the present case has admitted the SUKRITI by SUKRITI JHA Rishi Pal Vs. Pradeep Kumar JHA Date:

2025.01.31 13:26:04 +0530 cheque in question and his signatures on it. This Court is now bound to presume that the impugned negotiable instrument passed for consideration and was issued to discharge a legally enforceable debt. In addition to this, the return memo is also admitted. At the time of framing of notice, the Accused has stated in his defence that he purchased goods from the Complainant but could not make payments due to COVID-19. He admitted his liability to the extent of Rs. 2,60,000/- at the time of framing of notice. Receipt of the statutory demand notice is also admitted. Thus, four of the ingredients of Section 138 NI Act, as noted above, are undisputed. Dispute has been raised only as to the existence of a legally enforceable debt, which is presumed.

22. The only point of determination left is whether or not a probable defence has been raised by the Accused regarding the exact amount to be paid to the Complainant. There is no other point of determination since the Accused has admitted liability towards the Complainant.

REASONING AND FINDINGS

23. Boiled down, the Accused did not raise any defence as to existence of a legally enforceable debt and admitted his liability towards the Complainant. This is evident from the plea of defence taken at the time of framing of notice, statement of the Accused on 24.04.2024 and the statement of the Accused u/S. 313 Cr.P.C. r/w/s 281 Cr.P.C. The Accused also stated that he was always ready and willing to make the payment however, in small installments. The defence of the Accused is that he gave three blank signed cheques to the Complainant out of which two were SUKRITI by SUKRITI

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2025.01.31 13:26:17 +0530 for payment and the third one was given as a security cheque to be encashed as and when the need arises. The Accused admits in his examination in chief dt. 14.01.2025 that the two cheques that were for payment were filled in by the Complainant in his presence. The amounts on the two cheques i.e. Ex.CW1/3 and Ex.CW1/4 were Rs. 40,000/- and Rs. 50,000/- respectively. The third cheque was blank and signed but was supposed to be a security cheque.

24. In his cross-examination dt. 14.01.2025, the Accused has admitted that he does not know the exact amount owed to the Complainant. At the time of mediation in July 2023, the Accused owed roughly Rs. 2.4-2.6 lacs to the Complainant. It must be noted that the Accused has not supported the statement with any account or ledger so it cannot be verified as to the exact amount owed to the Complainant. The Accused was also confronted with Ex.CW1/1(colly) which contain the total of 7 invoices to which the Accused responded that he cannot confirm whether the said invoices are genuine or not. This is a clear contradiction since in the statement recorded u/S. 294 Cr.P.C, the Accused has stated that he does not dispute the genuineness of the documents mentioned in the list of documents filed by the Complainant.

25. The Accused was also shown Ex.CW1/2 which is a ledger account of the Complainant which shows Rs. 3,15,589/- as part of the closing balance of the ledger. The Accused stated that according to him the amount mentioned in the ledger is incorrect but he could not tell the correct amount as he would have to confirm with his accountant. The Accused admitted that he had CC NI Act No. 3019/2021 by SUKRITI SUKRITI JHA Date:

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not filed any document as part of his Defence Evidence which showed the transactions entered into between the Accused and the Complainant.

26. On being questioned about receipt of Ex.CW1/9 i.e. the legal notice, the Accused stated that he had not received the legal demand notice as the address on which it sent was vacated by him in January 2021. The Accused also stated that his office address on the legal demand notice was also incorrect. On being confronted with the notice framed u/S. 251 Cr.P.C., Learned Counsel for Complainant highlighted the inherent contradiction in the testimony of the Accused as at the time of notice framing, the Accused had admitted that he received the legal demand notice Ex.CW1/9. Moreover, the office address mentioned on the legal demand notice of M/s 24 Print Media which is the proprietorship concern of the Accused, is correct.

The Accused admitted that he shifted his office from WZ-97, PVC Market, Jwalapuri, near Sai Mandir, New Delhi-110087 to W-88, PVC Market, Jwalapuri, Near Sai Mandir, New Delhi-110087 in March-April 2022. The date mentioned on the legal demand notice is 14.09.2021. Clearly, the office address of the Accused as mentioned in the legal demand notice is correct as the Accused moved from the address in March-April 2022 whereas the date of delivery of the legal demand notice is in September 2021.

27. The Accused admitted his total liability towards the Complainant in his cross-examination as Rs. 3,15,589/- and that it was mutually settled at Rs. 3,20,000/- since there was a delay in making payment. The Accused takes up the defence that the third cheque i.e. Ex.CW1/5 was a blank signed cheque handed SUKRITI Digitally signed by SUKRITI JHA Rishi Pal Vs. Pradeep Kumar JHA Date: 2025.01.31 13:26:45 +0530 over to the Complainant only as a security. Thereafter, the Accused states in his cross-examination that the cheque was given to be encashed on some future date if the need arises. The Complainant however, presented the said security cheque alongwith the other two cheques i.e. Ex.CW1/3 and Ex.CW1/4.

The Accused further states that he did not make any complaint against the Complainant for presenting Ex.CW1/5 without the authority of the Accused. The Accused gave a voluntary statement that he had asked the Complainant as to why the Complainant presented the said security cheque and the Complainant reassured him that he had done so by mistake and the Accused need not worry about the same.

28. The defence of the Accused that the third cheque was only given as a security cheque does not hold water because the inherent purpose of the said cheque was also for payment which has been admitted in the cross-examination. The Accused also mentioned that the said security cheque Ex.CW1/5 was given as his partner had expired during Covid-19. This explanation does not completely clarify as to why a security cheque was given in the first place. Moreover, the Accused had also clarified that M/s 24 Print Media is a proprietorship firm and not a partnership firm.

29. It is trite that the Accused does not need to lead defence evidence to secure an acquittal in a cheque bounce case. The same can be done by cross-examining the Complainant and breaking apart the case using the cross-examination itself by bringing out fatal inconsistencies in the prosecution case which render it unbelievable. The Accused himself chose not to cross-

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examine the Complainant and his witnesses as he had admitted his liability. The Accused led DE and examined himself as a witness. In the case at hand, DW-1 i.e. the Accused has not withstood the test of cross-examination in so much as virtually nothing of any consequence has been brought out to exonerate him of his liability.

30. Since the liability of the Accused was admitted from the inception and the case had also been settled in mediation and was only tried on merits since the Accused could not make the payment timely, the Accused is liable to be convicted in the present case.

31. It is also settled law that the mere fact that the details in the cheque have not been filled by the drawer, but by some other person is immaterial. If the signatures on the cheque are admitted by the accused, the same is sufficient to give rise to the statutory presumptions in favour of the Complainant. It is pertinent to mention that the execution of the cheque in question is not disputed by the Accused in the present case. Furthermore, in *Oriental Bank of Commerce vs Pramod Kumar Tewar*, 2022 SCC SC 1089, it has been held by the Hon'ble Supreme Court that even if the details in the cheque have not been filled up by drawer but by another person, the offence of cheque bouncing is attracted.

32. The quantum of liability and the fact of repayment of part of the debt by the Accused shall be taken up at the time of sentencing. Learned Counsel for Accused had made a submission during final arguments that the Accused has already made part CC NI Act No. 3019/2021 Digitally signed by SUKRITI SUKRITI JHA Rishi Pal Vs. Pradeep Kumar JHA Date:

2025.01.31 13:27:02 +0530 payment of Rs. 1,20,000/- out of the total liability. The said submission should be reheard at the time of arguments on sentencing.

33. As far as the liability of the Accused is concerned, he has admitted the fact of taking the loan, the existence of business relations between the parties, the signatures on the cheque and the handing over of cheques to the Complainant. He has admitted to issuing the cheques in question.

34. The Accused has consistently maintained that he has repaid some of the cheque amount to the Complainant in his notice under Section 251 Cr.P.C., statement under Section 313 Cr.P.C. and defence evidence collectively. However, it is not clear as to how much amount has been paid and how much remains to be paid.

35. There are contradictions in the version of the Accused and he has not been able to raise a probable defence with respect to the cheque amount. Section 138 imposes strict liability on the drawer of the cheque dishonoured for insufficiency of funds, provided the cheque was issued in discharge of a legally enforceable debt. The presumption of existence of a legally enforceable debt under Section 139 has not been rebutted by the Accused. The invoices, ledger accounts of the Complainant and the cheque have established beyond reasonable doubt the existence of a legally enforceable debt. The defence of the Accused does not rebut the presumption of this debt. Ex.CW1/1(colly) and Ex.CW1/2 clearly mentioned the outstanding amount owed to the SUKRITI JHA JHA Date:

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Complainant by the Accused as Rs. 3,15,589/-. This is confirmed by the averments in the Complaint.

36. The mere ipse dixit of the Accused Person is not sufficient to rebut the statutory presumptions. The version of the Accused does not seem like a more probable view of the case compared to that of the Complainant's. All the ingredients of the offence under Section 138 NI Act stand fulfilled.

37. Accused Pradeep Kumar is held to be guilty of the offence under Section 138 NI Act and is hereby convicted for the same.

38. A copy of this judgment be given to the Convict free of cost and let the Convict be heard on sentencing.

Dictated and Pronounced by me in the open Court today on 31.01.2025. Digitally signed SUKRITI by SUKRITI JHA JHA Date: 2025.01.31 13:27:14 +0530 (SUKRITI JHA) JFM (NI Act) Digital Court-02, West Tis Hazari Courts, Delhi Rishi Pal Vs. Pradeep Kumar